UCAC
Université Catholique
d'Afrique Centrale



EXAMS 2025

BME: Introduction to Financial Markets (Answer all 2.0 hrs.)

Provide Brief Answers that Demonstrate Knowledge of the concepts, ***2 pts each***

1. List three attributes of successful businesses
2. What are derivatives? Give an example
3. What is the agency problem in business
4. What is self-attribution bias in behavioral finance
5. Briefly discuss key steps in the investment process
6. What is the strong form of market efficiency

Section B: Provide a logical analysis within the context.

1. In your own words briefly discuss three points that may explain the high level of financial illiteracy in Cameroon (**4 pts**).
2. Linda Babeu who is in a 33% ordinary tax bracket and pays 15% capital gains rate on dividend and capital gain for holding periods longer than 12 months, purchased 10 option contracts for a total cost of $4,000 just over one year ago. Linda received $4,700 upon sales of the 10 contracts today. What is Linda's pre-tax and after-tax HPR for this transaction (4 **pts**).

3. Match the following terms numbered 1 to 10 with the appropriate value from the possible answer list in the sequence A to O. Each *number* should be matched to only *one letter* (e.g. 11 => P) (**10 pts**)

1. Dividend **2.** Capital gain **3.** Options **4.** IPO **5.** Efficient market **6.** Coupon
7. Diversification **8.** Loss aversion **9.** Investment banker **10.** indenture

A. Borrowing from public can be done by issuing
B. Leads to reduction systematic risk
C. Leads to reduction of unsystematic risk
D. Can benefit from a performing security without owning it
E. An unsecured bond
F. Tendency less risk after gain and more risk after loss
G. May be realized after investment is sold
H. Represent ownership of a company
I. Link to primary market
J. A contract associated with bonds
K. Works on the assumption that investors are rational
L. Underwriter for primary market
M. Reward for owning stocks
N. Interest paid to bond owners
O. Contains obligations of the bond issuer

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